

26STCP00916 26STCP00916

County: los-angeles

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Case Number: 26STCP00916 Hearing Date: September 2, 2026 Dept: 729

Superior

Court of California

County of Los Angeles

DEPARTMENT

729

TENTATIVE RULING

MOBILITAS

INSURANCE COMPANY OF ARIZONA,

vs.

DANIEL

MAEDEL.

Case No.:

26STCP00916

Hearing Date: September 2, 2026

Petitioner

Mobilitas Insurance Company's unopposed motion to stay arbitration

pending resolution of Respondent/Claimant, Donald Maedel's Occupational

Accident Insurance Claim is granted.

Petitioner Mobilitas Insurance Company ("Mobilitas") ("Petitioner") moves unopposed to stay arbitration pending resolution of Respondent/Claimant, Donald Maedel's ("Maedel") ("Respondent") Occupational Accident Insurance Claim. (Notice Motion, pg. 2; Ins. Code §§11580.2, 11580; Evid. Code §§210, 350, 352; Bus. & Prof. Code §7455.)

Background

Petitioner filed its petition in this matter on March 5, 2026, against Respondent regarding an underinsured motorist arbitration matter. (See Petition.)

Petitioner filed the instant motion on May 14, 2026. As of the date of this hearing no opposition has been filed.

Legal Standard

Insurance Code §11580.2(f) provides, in part:

The policy or an endorsement added thereto shall provide that the determination as to whether the insured shall be legally entitled to recover damages, and if so entitled, the amount thereof, shall be made by agreement between the insured and the insurer or, in the event of disagreement, by arbitration. . . . If the insured has or may have rights to benefits, other than nonoccupational disability benefits, under any workers' compensation law, the arbitrator shall not proceed with the arbitration until the insured's physical condition is stationary and ratable. In those cases in which the insured claims a permanent disability, the claims shall, unless good cause be shown, be adjudicated by award or settled by compromise and release before the arbitration may proceed. Any demand or petition for arbitration shall contain a declaration, under penalty of perjury, stating whether (i) the insured has a workers' compensation claim; (ii) the claim has proceeded to findings and award or settlement on all issues reasonably contemplated to be determined in that claim; and (iii) if not, what reasons amounting to good cause are grounds for the arbitration to proceed immediately.

(Ins. Code §11580.2(f), emphasis added.)

Discussion

Petitioner's motion is granted.

This

matter arises from a motor vehicle accident on December 24, 2022 ("Incident"). At the time of the Incident, Respondent was operating his vehicle in the capacity as an independent contractor for Lyft, Inc. to provide rideshare services. (Decl. of Rajazi ¶2.) While in the process of being online on the Lyft application, Respondent's vehicle was impacted by a third-party driver named Daniel Hale. The other vehicle was underinsured at the time of the Incident. (Decl. of Rajazi ¶3.)

Respondent, by and through his

counsel, served a demand for arbitration (Decl. of Rajazi ¶4, Exh. A.) The demand for arbitration was made in accordance with the uninsured/underinsured motorist ("UM/UIM") provisions of Petitioner's policy due to the Incident. (Decl. of Rajazi ¶4, Exh. A.) Respondent has

not

submitted a declination from his Personal Auto Policy for denial of coverage for this claim. (Decl. of Rajazi ¶5.)

Petitioner's policy contains the following relevant provisions:

C. Exclusions

This

insurance does not apply to any of the following:

...

3. The direct or indirect benefit of any

insurer or self-insurer under any workers' compensation, occupational accident, disability benefits or similar law or the direct benefit of the United States, a state or its political subdivisions.

...

D. Limit
of Insurance

. . .

3. No one will be entitled to receive duplicate payments for the same elements of “loss” under this coverage and any Liability Coverage form or Underinsured Motorists Coverage endorsement or Medical Payments Coverage endorsement attached to this Coverage Part.

We will not make a duplicate payment under this coverage for any element of “loss” for which payment has been made by or for anyone who is legally responsible.

We will not pay for any element of “loss” if a person is entitled to receive payment for the same element of “loss” under any workers’ compensation, occupational accident, disability benefits or similar law.

With respect to “bodily injury” to a “Rideshare Driver”, we will not pay for any amounts recoverable under this policy if the “Rideshare Driver” has received or is entitled to payment under any:

a.
Occupational
accident insurance; or

b.
Driver
injury protection insurance.

(Decl.
of Rajazi ¶16, Exh. B at PDF pgs. 45-46.)

5. The following condition is added:

Arbitration

a. If we and an “insured” disagree whether the

“insured” is legally entitled to recover damages from the owner or driver of an “uninsured motor vehicle” or do not agree as to the amount of damages that are recoverable by that “insured”, the disagreement will be settled by arbitration. Such arbitration may be initiated by a written demand for arbitration made by either party. The arbitration shall be conducted by a single neutral arbitrator. However, disputes concerning coverage under this endorsement may not be arbitrated. Each party will bear the expenses of the arbitrator equally.

(Decl.
of Rajazi ¶6, Exh. B at PDF pg. 47.)

Lyft has Occupational Accident Insurance through United States Fire Insurance Company. (Decl. of Rajazi ¶7, Exh. C.) Blue Star Claims is the third-party administrator that handles claims for United States Fire Insurance Company. (Decl. of Rajazi ¶8.) The Blue Star policy has grievance procedures for claimants to appeal denials of claims. (Decl. of Rajazi ¶7, Exh. C, at pgs. 23-25.) The policy states, in part:

When you (as defined above in the policy to mean a Covered Person) submit a claim and that claim is denied, we will provide a written statement containing the reasons for the Adverse Determination. You have the right to request a review of any Company decision or action pertaining to our contractual relationship and to appeal any adverse claim determination we’ve made by filing a Grievance. These procedures have been developed to ensure a full investigation of a Grievance through a formal process.

(Decl.
of Rajazi ¶7, Exh. C, at pg. 23.) The grievance procedures include: an informal grievance, formal grievance, first and second level review, and expedited review. (Decl. of Rajazi ¶7, Exh. C, at pgs. 23-25.) The policy requires disputed to be submitted to arbitration. (Decl. of Rajazi ¶7, Exh. C, at pg. 20.)

Lyft has occupational accident insurance for its drivers through United States Fire Insurance Company, and Blue Star as the claims administrator. Respondent's underinsured motorist policy with Petitioner states that uninsured/underinsured motorist insurance does not apply to the direct or indirect benefit of any

insurer under worker's compensation, occupational accident, disability benefits, or similar law. (Decl. of Rajazi ¶6, Exh. B at PDF pg. 45.) Petitioner will not pay for any amounts recoverable under the Mobilias policy if a Lyft driver has received or is entitled to payment under any occupational accident insurance. (Decl. of Rajazi ¶6, Exh. B at PDF pg. 46.) Therefore, Respondent is required to resolve an occupational accident insurance claim before arbitration can proceed. More importantly, Claimant had a duty to cooperate with the Blue Star claims handling process and provide all relevant, accurate, and up-to-date documents requested by Blue Star to aid them in their analysis and review of the claim.

Here,

Respondent, through his counsel, has failed to cooperate with Blue Star and has ignored continuous requests by Petitioner for confirmation that they are complying with the explicit language of the Mobilias Policy by his refusal to confirm whether they have submitted all relevant documents/bills for processing with Blue Star. (Decl. of Rajazi ¶9, Exh. D.) Further, as of April 3, 2026, Blue Star claims administrator confirmed the Blue Star file was still open and in litigation. It was confirmed that Respondent submitted \$3,960 in medical bills to Blue Star. However, it appears that Respondent did not cooperate fully by submitting all of the bills since the bills received by Mobilias totaled over \$60,000. Respondent is required to submit all of the medical bills to Blue Star and has failed to do so. (Decl. of Rajazi ¶10, Exh. E.)

Allowing

the arbitration to go forward without the Respondent resolving an occupational accident insurance claim would violate Petitioner's insurance policy and potentially provide the Respondent with double recovery. Petitioner is entitled to reduce Respondent's recovery for any amount paid under any worker's compensation law, including occupational accident insurance benefits. (Ins. Code §11580.2(h)(1); Bus & Prof. Code §7455(e).) The purpose of this reduction is "clearly to shift the cost of an industrial injury sustained by an employee, as the result of the negligence of an underinsured motorist, from the motoring public (who pay the premium for underinsured motorist coverage) to the employer or workmen's compensation carrier." (Cal. State Auto Association Interinsurance Bureau v. Jackson (1973) 9 Cal.3d 859, 869.)

In

order to prevent double recovery, Insurance Code §11580.2(f) expressly permits

insurers to delay arbitration of underinsured motorist claims while a worker's compensation claim is pending, absent good cause. (Rangel v. Interinsurance Exchange (1992) 4 Cal.4th 1, 8.) The final version of §11580.2(f) provides for a stay of arbitration until the insured's condition has become stationary and ratable. (Rangel, 4 Cal.4th at pg. 10.)

Accordingly,
Petitioner's motion is granted.

Conclusion

Petitioner's unopposed motion is
granted.

Moving Party to give notice. The Court sets a Status Conference in this matter on March 9, 2027 at 8:30 a.m. in Department 729. The parties are ordered to file a Joint Status Conference report by March 2, 2027.

Dated:
September ____, 2026

Hon. Daniel M. Crowley

Judge of the Superior Court